

Example:

Anacostia and Potomac River Railroad First 5s, Due 1949

\$500,000 guaranteed by Washington Ry. & Elec. Co. price 110 in 1939
\$2,100,000 unguaranteed price 80 in 1939

In this case the Anacostia company's earnings coverage was inadequate (1.36 times in 1938), but that of the guarantor company was high (over 4 times in 1938 on a consolidated basis and over 11 times in that year on a parent-only basis inclusive of interest for which it was contingently liable).

Exact Terms of Guaranty Are Important. The exact terms of a guaranty have obviously a vital influence upon its value. A guaranty of interest only is likely to be much less significant than a guaranty of principal as well.

Examples: Philippine Railway Company First 4s, due 1937, were guaranteed as to interest only by the Philippine government. The earnings of the road itself were poor. Interest was paid promptly up to maturity, but principal was defaulted. The price of the bond reflected this situation, having sold no higher than 39 since 1929.⁹

Minneapolis, St. Paul and Saulte Saint Marie Railroad First Consolidated 4s and 5s due 1938: All the 4% bonds and about half the 5% bonds were guaranteed as to interest only by Canadian Pacific Railway. Principal was defaulted on maturity, and the Canadian Pacific ceased to pay interest, the price of the bonds declining to 6.¹⁰

On the other hand, this company's First and Refunding 5¹/₂s, Series B, due 1978,—a junior lien—are also guaranteed as to interest by Canadian Pacific and in accordance with the guaranty continued to receive interest after the senior lien was in default. These bonds sold at 64

⁹ Efforts made by a protective committee to induce the Philippine government to buy the bonds or assume liability for the principal resulted only in a scandal and a jail sentence for the chairman of the committee in 1939. The bonds sold at 7 in 1939.

¹⁰ Bondholders brought legal action in 1939 to compel Canadian Pacific to continue to pay interest until the principal was discharged.